

IT-3 QUICK REFERENCE — Failed Breakout / Trap Fade

Intraday Playbook 3 — Counter-trend reversal at obvious levels (bull trap / liquidity sweep)

v2 KEY RULES: (1) Confirmation bar RAISED to 4/5 (was 3/5) — counter-trend trades need a higher bar. (2) Stop ABOVE the sweep high, not just the failed level. (3) Consider reduced risk tier (0.25–0.5%) — counter-trend base rate is lower than continuation. (4) No tailwind from market/sector required.

1. GO / NO-GO (60S)

- **Confirmation bar (v2):** 4 of 5 confirmations REQUIRED (raised from 3 — counter-trend bar).
- **Level:** obvious breakout level near HTF resistance (daily/weekly zone or key MA).
- **Context:** market/sector NOT providing strong tailwind for the breakout.
- **Trap signature:** fast push through level followed by immediate rejection.
- **Plan:** structure-defined stop above sweep high; $\geq 2R$ to first support.

2. SETUP CRITERIA (SHORT — primary form)

- Price breaks above a key level (PMH or ORH or prior day high) but FAILS to hold.
- Within 1–3 candles, price CLOSES back below that level (failure confirmation).
- Ideally price also loses VWAP (slope rolling down) or rejects VWAP shortly after.
- Volume expansion on the rejection candle (sellers stepping in with size).
- Market proxy (QQQ) not in strong uptrend during the trap.

3. CONFIRMATION STACK (4 of 5 minimum — v2)

- 1) **Level:** failed breakout at PMH/ORH/prior day high/round number.
- 2) **VWAP behavior + slope:** price loses VWAP after failure; slope rolling down (for short).
- 3) **Market alignment:** QQQ neutral-to-weak; no tailwind for original breakout.
- 4) **Relative strength:** RS line deteriorating vs QQQ or sector.
- 5) **Volume:** rejection candle on expanding volume; subsequent bounces on lighter volume.

4. ENTRY EXECUTION

- **Trigger:** 5m close BACK BELOW the failed level after the push above.
- **Preferred entry:** retest of the failed level FROM BELOW that fails (weak bounce).
- **Alternative:** on rejection close itself if 4/5 confirmations achieved.
- **No chase:** if $>1\%$ below failed level without you, wait for the retest or skip.

5. RISK, STOPS, SIZING

- **Risk per trade:** 0.25%–1.0% account (consider 0.25%–0.5% — counter-trend = lower base rate).
- **Stop:** above the SWEEP HIGH (highest point of the failed breakout) — NOT just the failed level.
- **Position size** = (Account Risk \$) / (Entry – Stop).
- Daily max loss: 2–3R; two-loss rule applies.

6. TARGETS + MANAGEMENT

- **T1:** VWAP (if entry above VWAP) or opening range midpoint.
- **T2:** ORL / PML / LOD.
- **Partial:** 50% at +1R.
- **Trail:** above lower highs (5m) for the runner.
- **Time stop:** 15 min ($3 \times 5m$) without progress → exit/reduce.

7. INVALIDATION + EXITS

- **Hard exit:** price reclaims and shows acceptance above the failed level (5m closes holding above).
- **Market reversal:** strong upward move aligning across QQQ and SPY.
- **VWAP slope flips up:** and price holds above VWAP → exit immediately.

8. JOURNAL FIELDS (v2 — REQUIRED)

- Time of trigger; day of week; VWAP slope at entry; which level failed (PMH/ORH/PDH).
- Confirmations passed (must be ≥ 4); MAE/MFE in R; result in R multiple.
- Failure mode if it lost: original breakout reclaimed? Caught knife in true reversal?

Internal Trading SOP v2 — use strict risk sizing; educational use only (not investment advice). Revised 2026-05-20

IT-3 Trap Fade — Glossary

Acronyms and abbreviations used in this card and the full Intraday Trading System.

Acronym	Meaning / Use
ATR	Average True Range — volatility measure used to size stops on volatile names.
AVWAP	Anchored Volume-Weighted Average Price — VWAP anchored to a chosen bar (e.g., gap day open).
ET	Eastern Time — all session times referenced in U.S. Eastern Time.
ETF	Exchange-Traded Fund — e.g., QQQ, SPY used as market proxies.
HOD / LOD	High / Low of Day — extreme price during regular session; common targets.
HTF	Higher Time Frame — daily/weekly structure referenced above intraday charts.
MA	Moving Average — generic; covers SMA and EMA.
MACD	Moving Average Convergence Divergence — momentum indicator (confirmation only).
MAE / MFE	Maximum Adverse / Favorable Excursion — worst / best unrealized point during trade.
/NQ	Nasdaq-100 E-mini Futures — premarket/overnight sentiment proxy.
OCO	One-Cancels-Other order — bracket pairing stop and target.
ORB	Opening Range Breakout — Playbook 1.
ORH / ORL	Opening Range High / Low — first 15 minutes (9:30–9:45 ET).
PMH / PML	Premarket High / Low — extreme prices during 4:00–9:30 ET premarket.
QQQ	Invesco QQQ Trust (Nasdaq-100 ETF) — primary intraday sentiment proxy.
R / 1R	Risk Unit — dollars lost if stop hits. Outcomes expressed in R multiples.
RR	Reward-to-Risk Ratio — minimum 1.5:1, prefer 2:1+.
RS	Relative Strength — ticker performance vs benchmark. Distinct from RSI.
RSI	Relative Strength Index — momentum oscillator (0–100), confirmation only.
RVOL	Relative Volume — current vs average baseline; tradability filter.
SPY	SPDR S&P 500 ETF Trust — broad market risk-on/off proxy.
T1 / T2	Target 1 / Target 2 — first and second profit objectives, set before entry.
TOS	Thinkorswim — Charles Schwab trading platform used for execution.
VWAP	Volume-Weighted Average Price — session fair-value benchmark.

Glossary appendix — Internal Trading SOP v2. Educational use only. Revised 2026-05-20